

you have to do unsecured portfolio. Once you graduate to a bank, the comfort level changes and you may have to do 60:40 (60% unsecured and the rest secured) which we are aiming to achieve in the next three years," says Davis.

But that's not the only thing it is aiming to do. Gold loans, mutual funds, housing loans and even tying up with fintechs are high on the bank's radar.

"We are trying to provide as many services and across a bigger spectrum so that they [customers] stay with us," says Davis.

In the realm of housing loans, which constitute 15% of the bank's total loan portfolio, the bank has revamped its offerings by introducing a hub-and-spoke model. This initiative aims to expand its customer reach and streamline processing times for improved efficiency.

70 |

"It is like a hub-and-spoke model in bigger cities...by end of the current fiscal we will have 16 such centres and we will add a few more every year," says Davis.

As per Davis, the partnership with fintech firms is for lead generation, with the bank conducting thorough due diligence. Additionally, the bank has ventured into capital market services, having already collaborated with SMC Global for demat services. Next in line is the exploration of mutual fund offerings, with plans underway for potential partnerships. "We will tie up with some mutual funds as well. Setting up a mutual fund business and managing it is an expensive business so we can partner with experts who are already doing it," says Davis.

According to Shreyansh Shah, research analyst at the brokerage firm Stoxbox, Ujjivan's resilience is evident in the fact that it has maintained margins at 8.9% in 9MFY24, despite facing chal-

EMPOWERED BANKING

► **Voice. Vernacular. Visual.** These three aspects of the 'Hello Ujjivan' app, or the so-called 3V approach, did the trick for Ujjivan Small Finance Bank and helped the lender emerge as the winner in BT-KPMG's Best Bank in Innovation category.

Launched a little over a year ago, the app, which is currently available in nine languages—Hindi, Marathi, Bengali, Tamil, Gujarati, Kannada, Odia, Assamese and English—has been a huge hit with the bank customers, especially those who are illiterate or semi-literate. Further, the voice feature of the app has been a huge hit with the bank's women customers of the Bengaluru-based small finance bank (SFB).

"Semi-literate or illiterate customers identify certain words with pictures. While it is an Android-only app, the combination of visual, vernacular and voice has helped a lot of customers, especially women who are comfortable with voice search," says Ittira Davis, the lender's MD & CEO.

The app adapts to users' dialects and responds accordingly, providing visual aids and voice guides in their chosen language for seamless banking tasks like paying loan EMIs, opening deposits, transferring funds, and more.

The popularity of the app can be seen in the fact that it already has over 500,000 downloads and a four-star rating on Google Play Store. The bank anticipates two million downloads in the first three years, with five million monthly transactions. Additionally, it leverages its 750 branches to train customers hesitant about technology.

This assumes significance as SFBs typically have the bulk of customers based in Tier 2 and 3 locations. The regulatory compliance also mandates that SFBs have at least 25% of the branches in rural and unbanked areas.

'Hello Ujjivan' has been created by the bank in collaboration with Navana.AI, a tech firm that specialises in designing speech recognition and generative AI powered solutions for companies.

lenges in the market. "Looking ahead to FY24, we anticipate the bank to sustain net interest margins around 9% through proactive loan repricing measures. However, the intensifying competition in the SFB space presents a potential challenge," says Shah.

And, it seems that the market is also betting big on the banking entity. In the last one year, shares

of Ujjivan SFB have more than doubled even as the benchmark 30-share Sensex has moved up by around 23%. Even the BT-KPMG jury was impressed, picking it for the Best Indian Bank in Innovation award. Plus, the bank was also adjudged the Best Small Finance Bank based on a quantitative analysis. **BT**

@ashishrukhaiyar